D02 · Inventory Strategy & Optimization

03 · Slow-moving & obsolete (SLOB) inventory management

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1 WHAT IT IS

SLOB management proactively identifies slow-moving and obsolete inventory, distinguishes the slow (still sellable, manageable) from the dead (to be liquidated), and acts on disposition early — markdown, redeploy, return, or scrap — while recovery value is highest, instead of carrying it at full cost until a forced write-off recognizes the loss all at once.

2 WHY IT MATTERS

Lazear 1986 **(Lazear, 1986 — peer-reviewed)** modeled retail clearance and showed that the optimal price of slow-moving goods declines over time as the probability of finding a buyer at the current price falls — the value of held inventory is not static but decays, and the right markdown is an early, deliberate sequence, not a last-minute dump. Carrying SLOB at full book value hides this decay: the inventory sits on the balance sheet at cost while its real recoverable value erodes, the holding cost accrues invisibly, and the eventual forced write-off recognizes in one period a loss that accumulated over many. The cost is doubled by delay — **recovery value on aged stock can fall by more than half before disposition is finally forced**, so the same inventory that could have been cleared at a modest markdown is scrapped near zero.

3 HOW IT IS DONE

1. **Define SLOB objectively, by aging and movement.** Set clear thresholds — days of no movement, coverage exceeding a horizon, end-of-life flags — so SLOB is identified by rule, not by whoever happens to notice. Ambiguous definitions let aged stock hide until it is dead.
2. **Separate slow from dead.** Slow-moving stock is still sellable and managed with markdown or redeployment; dead/obsolete stock has no forward demand and is liquidated or scrapped. Treating them the same either dumps sellable goods cheap or carries dead goods forever — the distinction drives the action.
3. **Act early, while recovery value is high.** Because recovery value decays, the cost of waiting is real and compounding. An early modest markdown or redeployment usually beats a later deep one; the disposition decision is a timing decision, and delay is the most expensive choice.
4. **Match the disposition channel to the item.** Markdown, transfer to a demand location, return to supplier, secondary-market sale, donation, or scrap each fit different cases. A single default channel (usually scrap) leaves recovery value on the table that another channel would have captured.
5. **Attack the root cause, not just the symptom.** SLOB is the residue of over-forecasting, over-ordering, poor NPI phase-out, or no end-of-life planning. Clearing the stock without fixing the cause guarantees the next cohort. Feed SLOB analysis back into forecasting and lifecycle planning.
6. **Provision and report SLOB transparently.** Recognize the expected loss as it accrues rather than in a single forced write-off, and report SLOB as a standing inventory-health metric. Transparency turns a quarter-end surprise into a managed, declining line.

> **WORKED EXAMPLE — ILLUSTRATIVE**
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> A company carried aged stock at full cost until annual write-off — **baseline: $9.2M SLOB on the books, recovery averaging 12 cents on the dollar at forced scrap, recurring year-end write-off surprises**. It set aging-based SLOB rules, split slow from dead, and ran early disposition through markdown, transfer, and supplier return. Results: **average recovery 12% -> 38% of cost, SLOB balance down ~40%, and the year-end write-off surprise replaced by a managed monthly line** — value captured by acting while it still existed.

IN PRACTICE

Rule-based SLOB identification

Run a scheduled, threshold-based SLOB report — days of no movement, excess coverage, EOL flags — so aged stock surfaces automatically rather than when someone notices. Early, rule-driven identification is what makes early disposition possible; the report cadence is the first defense against value decay.

A disposition channel playbook

Maintain a pre-agreed set of channels — markdown, transfer, supplier return, secondary market, donation, scrap — with the criteria for each. A playbook lets disposition happen fast at identification, instead of each case becoming a fresh negotiation that delays action while value falls.

Feedback to forecasting and lifecycle

Route SLOB root causes back into demand planning and NPI/end-of-life processes. If a SKU family repeatedly generates obsolescence, the fix is upstream — phase-out planning, tighter forecasting, smaller launch buys — not faster scrapping. SLOB management without this loop is a treadmill.

SLOB as a standing health metric

Report SLOB level, aging, and recovery rate on the inventory scorecard, with provisioning recognized as it accrues. Continuous visibility turns obsolescence from an annual write-off shock into a managed, declining line that leadership can actually steer.

WHAT YOU WOULD USE

SLOB / INVENTORY-HEALTH ANALYTICS

SAP IBP / o9 — inventory-health analytics — Aging, excess-and-obsolete identification, and disposition workflow integrated with the planning and inventory model. **(SAP, o9 — vendor)** The choice when SLOB detection should feed directly back into demand and lifecycle planning.

Blue Yonder / RELEX — excess & markdown — Strong excess-inventory and markdown-optimization capabilities, with retail clearance pricing in RELEX/Blue Yonder. **(Blue Yonder, RELEX — vendor)** A strong fit where markdown timing and clearance pricing are the core disposition levers.

Liquidation / secondary-market specialists — Dedicated platforms and marketplaces for recovering value from obsolete and returned stock. **(specialized vendors — vendor)** The vertical option when the recovery channel itself — secondary market, auction, recommerce — is the value lever.

For operations that don't need a platform — A scheduled aging report, a slow-vs-dead split rule, and a disposition channel playbook run in a workbook with monthly review. The decisive factor is acting early on a rule, not the tool — recovery value is captured by speed of decision, which discipline delivers more reliably than software.

4 SO WHAT

> **Operations that identify and dispose of SLOB early capture recovery value while it still exists; operations that carry it at full cost until a forced write-off recognize the loss after the value is gone.** SLOB is not an accident to be cleaned up annually — it is a decaying asset that demands a timing decision the moment it is identified. The forced write-off is simply the bill for every period the disposition was deferred.

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